

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

ACCESS ONE TRANSPORT, INC., *Complainant*

v.

CMA CGM S.A., *Respondent*.

DOCKET NO. 24-18

Served: December 10, 2024

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

INITIAL DECISION APPROVING CONFIDENTIAL SETTLEMENT AGREEMENT¹

On November 22, 2024, Complainant Access One Transport, Inc. (“Access One”) and Respondent, CMA CGM S.A. (“CMA”) filed a joint motion seeking approval of a confidential settlement agreement and dismissal with prejudice (“Motion”) with a copy of the confidential settlement agreement.

Using language borrowed in part from the Administrative Procedure Act, Rule 75 of the Commission’s Rules of Practice and Procedure gives interested parties an opportunity, *inter alia*, to submit offers of settlement where “time, the nature of the proceeding, and the public interest permit.” 46 C.F.R. § 502.75(b); *see* 5 U.S.C. § 554(c). If dismissal is sought due to a settlement by the parties, “the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable.” 46 C.F.R. § 502.72(a)(3). “Unless the order states otherwise, a dismissal under this paragraph is without prejudice.” 46 C.F.R. § 502.72(a)(3).

The Commission has a strong and consistent policy of “encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid.” *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002) (quoting *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978)). *See also Ellenville Handle Works, Inc. v. Far Eastern Shipping Co.*, 20 S.R.R. 761, 762 (ALJ 1981).

The law favors the resolution of controversies and uncertainties through compromise and settlement rather than through litigation, and it is the policy of the law to uphold and enforce such contracts if they are fairly made and are not in

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

contravention of some law or public policy. . . . The courts have considered it their duty to encourage rather than to discourage parties in resorting to compromise as a mode of adjusting conflicting claims. . . . The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn, to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Old Ben Coal, 18 S.R.R. at 1092 (quoting 15A Am. Jur. 2d *Compromise and Settlement* § 3 (1976)).

“While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation.” *Old Ben Coal*, 18 S.R.R. at 1092. However, if “a proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval.” *Old Ben Coal*, 18 S.R.R. at 1093. “[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988) (citations omitted).

“Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, 31 S.R.R. 623, 626 (FMC 2009) (citing *Puerto Rico Freight Sys. Inc. v. PR Logistics Corp.*, 30 S.R.R. 310, 311 (ALJ 2004)).

The parties state that they “engaged in settlement discussions at various points in time following the filing of the amended complaint, ultimately concluding the Confidential Settlement Agreement accompanying this memorandum.” Motion at 2; *see also* February 28, 2024, Respondents’ Motion for Extension of Time to file Answer (the parties “are actively engaged in settlement discussions” and that there is a “high probability” that they will be able to resolve the issues in this proceeding).

The parties state:

Through independent analysis, the Parties, both sophisticated corporate entities represented by experienced counsel, determined that a settlement was economically expedient and legally justified. They entered into a confidential mutual release settlement agreement to ensure that the dispute is entirely resolved.

The settlement was reached through negotiations based on their independent analysis. Accordingly, the parties certify that the settlement is on the merits.

Motion at ¶ 3. The parties further state:

This settlement is consistent with all applicable laws and public policies. It reflects the parties' mutual desire to resolve their differences without the costs and risks of continued litigation. The settlement is both fair and reasonable in light of the evidence. Therefore, it is neither unjust nor discriminatory, and does not negatively impact any third parties or the shipping public.

Motion at ¶ 5.

Based on the representations in the joint motion and other documents filed in this matter, the parties have established that the settlement agreement does not appear to violate any law or policy, or contain other defects which might make it unapprovable. The parties are represented by counsel and have engaged in arms-length settlement discussions. The proceeding would require potentially expensive discovery and briefing. The parties have determined that the settlement reasonably resolves the issues raised in the complaint without the need for costly and uncertain litigation. Accordingly, the settlement agreement is approved.

The parties request that the settlement agreement be kept confidential. Pursuant to Commission Rule 5(b), parties may request confidentiality. 46 C.F.R. § 502.5(b); *see also* 46 C.F.R. § 502.141(j). The Commission recently stated, after the motion here was filed, that it “requires more formality and clarity, including a motion explaining the need for confidential treatment” and “good cause demonstrating that the information is a trade secret or other confidential research, development, or commercial information.” *Genesis Resource Enterprise Inc. v. Maersk Line, Ltd.*, Docket No. 2014(I), Order Affirming Small Claims Officer's Order Approving Settlement, and Reversing Confidential Treatment, at 2 (FMC Dec. 4, 2024).

Here, the parties request confidentiality, stating that good cause exists due to the sensitive commercial information included.

The parties request that the settlement remain confidential. The Commission has recognized that settlement agreements often contain sensitive commercial information, and thus should be protected from public disclosure and routinely grants appropriate requests for confidential treatment. *See D.F. Young, Inc. v. NYKLine (North America) Inc.*, FMC Dkt No. 16-02 (FMC May 22, 2018). “If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.” *Al Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, 29 S.R.R. 68, 70 n.7 (ALJ 2000) (internal citations omitted).

Motion ¶ 6.

The confidential settlement agreement has been reviewed by the undersigned and is available to the Commission. Given the parties' request for confidentiality, confidential information included in the settlement agreement, and the Commission's history of permitting

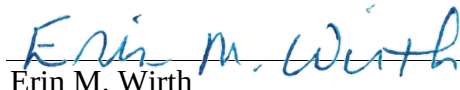
agreements settling private complaints to remain confidential, the parties' request for confidentiality for the settlement agreement is granted. The settlement agreement will be maintained in the Secretary's confidential files.

Upon consideration of the motion, the settlement agreement, and the record, and good cause having been stated, it is hereby:

ORDERED that the joint motion to approve the settlement agreement between Complainant Access One Transport, Inc. and Respondent, CMA CGM S.A. be **GRANTED**. It is

FURTHER ORDERED that the request for confidential treatment be **GRANTED**. It is

FURTHER ORDERED that the request for dismissal with prejudice be **GRANTED**.


Erin M. Wirth
Chief Administrative Law Judge